Whatever the strategic benefit of Mesopotamia to Britain, where both Churchill and Wilson agreed was that the security of India did not lie in Persia. The main debate on Persia, prior to May 1920, concerned whether the country was at risk from a Bolshevik attack and to what extent Britain was prepared to help the Persian government should such an event occur. One of the justifications for the Anglo-Persian Agreement used by Curzon had been the need to protect the country from a Bolshevik incursion, which could have repercussions on Britain's position in South Asia at large. By 1920, the consolidation of the Soviet government within Russia and its actions in Central Asia made this threat more credible. In the Russian civil war the White Russian commander, General Denikin had been defeated outside Moscow in October 1919 and subsequently driven south to Novorossiisk before escaping in a boat to Constantinople.[20] By March 1920 the Red Army had consolidated its hold on the North Caucasus and pushed on into Daghestan and Azerbaijan, capturing Baku on 27–28 April and setting up the Azerbaijan Soviet Socialist Republic. In Central Asia, a protracted battle between the Red Army on one side, and General Kolchak and the Orenburg Cossacks on the other, had finally ended in September 1919 when forces of the Tashkent Soviet joined with the Red Army to defeat Kolchak. By early 1920, the Turkestan Army Group had destroyed all remnants of the Orenburg and Ural Cossacks, while the Transcaspian Government of Ashkhabad was gradually forced back towards the Caspian, with Krasnovodsk finally being captured in February 1920.[21] A few months later Russian forces would help overthrow the Khan of Khiva, with Bukhara soon following suit.[22]

Unsurprisingly, this rapid southern progression of the Red Army alarmed some British observers. While for 1918 and most of 1919 Persia (and Afghanistan) had been somewhat cushioned from Bolshevism by the presence of anti-Bolshevik factions throughout southern Russia and Central Asia, by 1920 the borders of these countries were now looking decidedly vulnerable. In a Cabinet meeting that January it was admitted that:

The Bolsheviks had now a very powerful army, consisting of all their best troops...Every day they were making great strides towards the East, in the